THE IDEALIZED KONDRATIEFF CYCLE

Known by the ancient Israelites, identified by the Mayas of Central America centuries ago, and rediscovered in the 1920s by economist Nikolai Kondratieff of Russia, the Kondratieff cycle is a repetitive pattern of financial and economic behavior that lasts on average approximately 54 years. That this length is close to a Fibonacci 55 years may or may not be coincidence.

The cycle is of such duration and strength that its observers have concluded all kinds of things about its presumed cause, involving theories of factory capacity utilization, generation-by-generation experience with excessive debt or lack thereof, etc. However, there is no difference between the operation of this cycle and any other. Its size associates it with certain phenomena, such as inflation and deflation, the rise and fall of wholesale prices, the expansion and contraction of production, and the expansion of credit followed by debt liquidation, that would not have time to result from a cycle lasting merely weeks. The associated phenomena may appear causal, but they are actually results of patterns of mass psychological change as reflected by the cycle. There are many cycles smaller and larger than the Kondratieff cycle. Does the 3-week cycle have anything to do with inventories and debt? If not, then why should the 54-year cycle be fundamentally different? As I see it, all cycles result from the natural workings of social psychology.

A study of the past five Kondratieff cycles reveals that the progression of financial events through each one is the same, although the timing of the events within the cycles varies. From the trough, an economic expansion takes place. It is accompanied by monetary stability or mild inflation, and rising capital markets. After a couple of decades, inflation accelerates, causing the price of physical goods to rise. Capital markets go sideways or down during this period, falling substantially in inflation-adjusted terms. After a decade or so, the end of the period of high inflation is signaled by a sharp recession in business activity. Following the recession is a period called the "plateau," a decade or so of disinflation or mild deflation during which time the value of capital markets rises dramatically while the economy expands again. That period is followed by a severe deflation that causes the prices of capital markets as well as physical goods to fall. This fall brings on a depression in business